RISK MANAGEMENT POLICY

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Foreign Exchange Risk Management Policy

Approved By: CFO / Board
Effective Date: [Insert Date]
Next Review: [Insert Review Cycle]

Table of Content

Scope

Foreign Exchange Risk Overview
2.1 Transaction Risk
2.2 Economic Risk

Exposure Identification
3.1 Responsibility for Identification and Reporting
3.2 Forecasting and Planning

Hedging of Transactions
4.1 Exposure Eligibility
4.2 Hedge Volumes
4.3 Permitted Hedging Instruments

Governance and Compliance
Prohibited Activity
Definitions and Terminology

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Executive Summary

This policy defines the framework under which (Entity) manages foreign exchange (FX) risk. It supports the Group's objectives of financial predictability, commercial flexibility, and margin protection in a controlled, transparent, and risk-aware environment.

The primary objective is to mitigate the financial impact of currency fluctuations on committed and forecasted transactions, while enabling the strategic use of hedging tools to improve certainty of outcomes and capture opportunities where appropriate

1. Scope

This Standard is primarily concerned with the management of transaction risk, given its direct impact on project delivery, supplier and customer pricing, and day-to-day operational cash flows.

By managing transaction risk in a structured yet flexible manner, we aim to:

- Enhance financial predictability
- Protect project and margin certainty
- Preserve the ability to operate competitively in both domestic and international markets

Translation and economic risks may be addressed through strategic, reporting, or capital structuring initiatives, rather than active hedging.

2. Foreign Exchange Risk Overview

2.1 Transaction Risk

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Transaction risk arises from the impact of exchange rate fluctuations known or anticipated foreign currency-denominated cash flows — typically associated with receivables, payables, and forecasted transactions.

This includes:

- Payments for imported goods or services
- Receipts from foreign customers
- Intercompany transfers across currencies

Transaction risk is the primary focus of this policy risk can be proactively managed through structured hedging strategies including forwards and approved option-based instruments.

2.2 Economic Risk

Economic risk refers to the longer-term impact of FX movement can have on market competitiveness, pricing, and sourcing. Examples include:

- Shifts in relative pricing to competitors
- FX-driven cost base changes
- Sustained margin pressure across international markets

Economic risk is difficult to hedge directly

3. Exposure Identification

All FX exposures must be identified and reported

Key practices include:

- Protection rates (not spot rates) must be used for pricing assess exposures and on hedge

3.1 Responsibility for Identification and Reporting

Each business unit must identify, quantify, and report all material foreign exchange exposures. Materiality should be assessed based on the potential financial impact relative to the size, margin, or strategic importance of the underlying transaction.

Early identification enables timely and effective hedging strategies.

3.2 Forecasting and Planning

Forecasting should include:

- Rolling forecasts from business units
- Procurement demand planning
- Timing, amount, and currency of expected flows
- Hedge ratios and FX sensitivity

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4. Hedging of Transactions

Determine hedge volumes and timing based on:

- Probability and scale of exposure
- Commercial benefit of locking in rates
- Market conditions and product availability

4.1 Exposure Eligibility

FX exposures may be hedged if:

- A firm contract or PO exists
- Forecasts are based on defined commercial plans
- The risk is highly probable and measurable

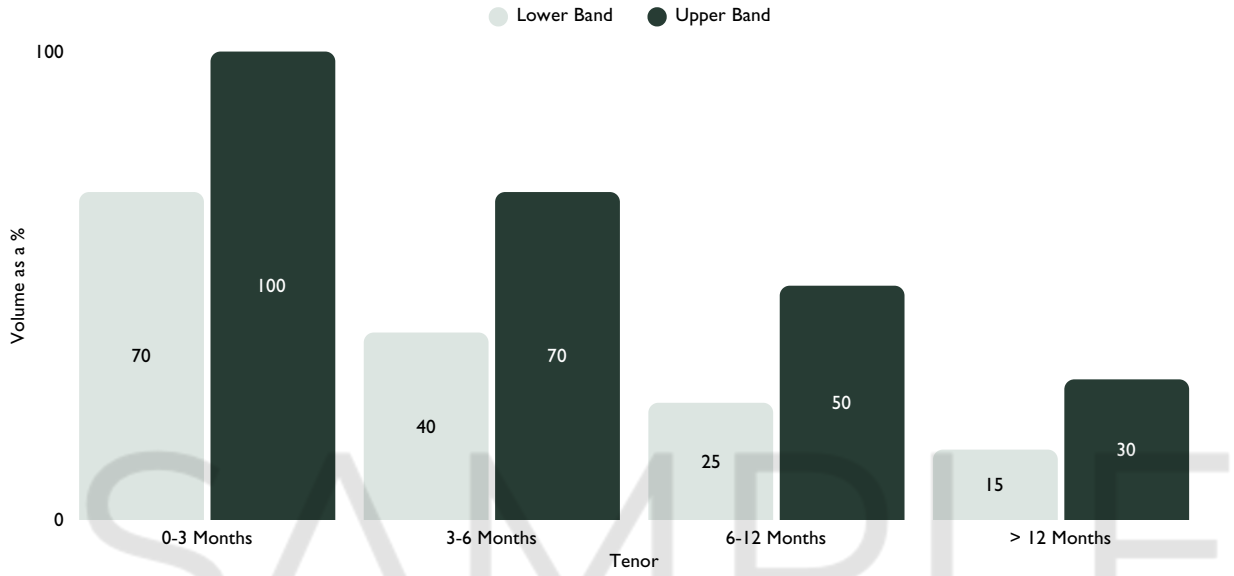
4.2 Hedge Volumes

Indicative hedge guidance:

Business may hedge volumes above forecast levels where justified by:

- Market conditions
- Enhanced product mechanics
- Strategic pricing needs

All hedges must remain aligned to reasonably expected business activity.



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4.3 Permitted Hedging Instruments

Business may use:

- Spot FX contracts
- Forward exchange contracts
- FX options (calls, puts)
- Structured strategies (zero-cost collars, ratio options, participating forwards)
- Cross-currency swaps
- Non-deliverable forwards
- Internal offsets where feasible

All instruments must be linked to an identifiable exposure

5. Governance and Compliance

- Policy owned by Treasury, approved by CFO and Board
- Exceptions must be formally documented and pre-approved
- Policy reviewed annually
- Subject to internal audit and compliance oversight

6. Prohibited Activity

Speculative trading is prohibited.

FX positions must be clearly linked to actual, probable, or commercially justified exposures. Treasury will review all positions for compliance with this principle.

7. Definitions and Terminology

- Protection Rate: The effective rate offered by based on available hedging instruments
- Speculation: Trading FX unrelated to a valid business exposure
- Structured Product: A derivative with payout mechanics beyond a basic forward
- High-Probability Forecast: An expected foreign currency cash flow with a high level of confidence

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